

Life Insurance Corporation General Rules, 1956

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Union of India - Act

Life Insurance Corporation General Rules, 1956

UNION OF INDIA

India

Life Insurance Corporation General Rules, 1956

RULE LIFE-INSURANCE-CORPORATION-GENERAL-RULES-1956 of 1956

Published on 25 May 1957

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Life Insurance Corporation General Rules, 1956

Published vide Notification S.R.O. 1899-A

Last Updated 12th March, 2022 [15/709]

S.R.O. 1899-A. - In exercise of the powers conferred by section 48 of the Life Insurance Corporation Act, 1956 (31 of 1956

), the Central Government hereby makes the following rules, namely:-

1.

Short title. - These rules may be called The Life Insurance Corporation [General] Rules, 1956.

2.

Definitions. - [(1) In these rules -]

(i)

["chairman" means Chairman appointed by the Central Government under sub-section (1) of section 4;]

[Inserted by G.S.R. 1094, dated 22.7.1965.]

[***]

[Omitted '(ia)' by Notification No. G.S.R. 460 (E), dated 30.6.2021.]

(ib)

["audio-visual means" means video conferencing and such other means of audio-visual electronic communication which enable all the persons participating in a meeting to communicate concurrently with each other without an intermediary and to participate effectively in the meeting;

[Inserted by Notification No. G.S.R. 171(E), dated 3.3.2022.]

(ic)

"chairman" means the chairman referred to in sub-rule (6) of rule 28;

(id)

"Company Secretary" shall mean a person who is a member of the Institute of Company Secretaries of India, constituted under the Company Secretaries Act, 1980 (

56 of 1980

) and who is the head of the secretarial function of the Corporation;]

(ii)

["section" means a section of the Act;

[Substituted by G.S.R. 317, dated 30.4.1958.]

(iia)

["Securities and Exchange Board of India" means the Securities and Exchange Board of India established under section 3 of the Securities and Exchange Board of India Act, 1992 (

15 of 1992

);]

(iib)

["special business" means, -

[Substituted by Notification No. G.S.R. 171(E), dated 3.3.2022.]

(a)

in respect of an annual general meeting, all business to be transacted thereat other than items of business specified in sub-section (2) of section 23A of the Act; and

(b)

in respect of any other general meeting, all business to be transacted thereat.]

(iii)

"Tribunal" means the tribunal constituted by the notification of the Government of India in the Ministry of Finance S.R.O. No. 1734, dated the 25th May, 1957.]

(2)

[Words and expressions used herein and not defined in these rules, but defined in the Act shall have the meanings respectively assigned to them in the Act.]

[Inserted by Notification No. G.S.R. 460 (E), dated 30.6.2021.]

3.

[Term of office and conditions of service of directors appointed or nominated by Central Government.

- Every director appointed or nominated by the Central Government under clause (a) or clause (b) or clause (c) or clause (e) of sub-section (2) of section 4 -

(i)

shall hold office during the pleasure of the Central Government, for such term not exceeding five years as the Central Government may specify and be eligible for re-appointment;

(ii)

may resign his office by giving notice thereof in writing to the Central Government, and the resignation shall take effect from the date, if any, specified by the director or the date on which it is accepted by the Central Government, whichever is later.]

4.

[Certain other terms and conditions of service of whole-time directors appointed by Central Government.

(1)

If a whole-time director appointed by the Central Government under sub-clause (i) of clause (a) or clause (b) or clause (c) of sub-section (2) of section 4 is by infirmity or otherwise rendered incapable of carrying out his duties or is absent on leave or otherwise in circumstances not involving the vacation of his office, the Central Government may appoint another person to act in his place during his absence.

(2)

Notwithstanding anything contained in rule 3, -

(i)

the Central Government shall have the right to terminate the services of a whole-time director at any time before the expiry of the term specified under that rule by giving him notice of not less than three months in writing or three months' salary and allowances in lieu thereof;

(ii)

a whole-time director shall have the right to relinquish his office at any time before the expiry of the term specified under that rule by giving the Central Government notice of not less than three months in writing.

(3)

Notwithstanding anything contained in rule 3 or sub-rule (2) of rule 4, the Central Government may remove a whole-time director from office if it is satisfied that -

(i)

in the public interest or for securing the proper management of the Corporation it is necessary so to do; or

(ii)

he has abused his position or has acted in a manner prejudicial to the interests of the Corporation:

Provided that no such removal shall be made unless he has been given a reasonable opportunity of being heard in the matter.]

5.

[Term of office and conditions of service of directors appointed by Board.

(1)

Every director appointed by the Board under clause (f) or clause (g) of sub-section (2) of section 4, and whose appointment is approved at the annual general meeting, -

(i)

shall hold office for a term of four years and shall be eligible for one further term of four years:

Provided that notwithstanding anything contained in this sub-rule, the first three directors appointed under the said clause (g) shall hold office for such term as the Board may decide, not exceeding six months, and shall be eligible for appointment for one further term of four years;

(ii)

may resign his office by giving a notice in writing to the Corporation, and the resignation shall take effect from the date, if any, specified by the director or the date when such notice is received by the Corporation, whichever is later:

Provided that the director shall specify in such notice the reasons for his resignation and shall affirm that there is no material reason other than those specified.

(2)

The members at a general meeting may, by a resolution passed by a simple majority, remove a director appointed under clause (f) or clause (g) of sub-section (2) of section 4, after giving him a reasonable opportunity of being heard:

Provided that an independent director appointed for a second term under sub-rule (1) shall be removed only by passing a special resolution, and after giving him a reasonable opportunity of being heard.

(3)

Notwithstanding anything contained in sub-rules (1) and (2), in the event of the Corporation applying to list its equity shares under any regulation made by the Securities and Exchange Board of India in this behalf, higher requirements, if any, under any regulation made by the said Board in respect of listing obligations and disclosure requirements shall apply with regard to the matters provided for in the said sub-rules.]

6.

[Disclosure of interest.

(1)

Every director shall disclose his concern or interest in any body corporate (including shareholding interest), in pursuance of the provisions of sub-section (1) of section 4B, by giving a notice in writing in Form 1 set out in the Schedule to these rules.

(2)

All notices shall be kept at the central office of the Corporation and such notices shall be preserved for a period of ten years from the end of the financial year to which it relates and shall be kept in the custody of the Company Secretary or such other person authorised by the Board for the purpose.

[Explanation. - For the purposes of this rule, "body corporate" shall have the meaning assigned to it in the explanation to sub-section (6) of section 4B.]

[***]

[Omitted 'clause (ii)' by Notification No. G.S.R. 171(E), dated 3.3.2022.]

]

7.

[Contract or arrangement with related party.

(1)

Any contract or arrangement entered into by the Corporation with a related party shall be in accordance with the provisions of section 4C, clause (d) of subsection (2) of section 19C and sub-section (3) of section 19C, and the agenda of the meeting of the Audit Committee and the Board at which such contract or arrangement is proposed to be considered shall disclose the following, namely:

(i)

the name of the related party and nature of relationship;

(ii)

the nature, duration and particulars of the contract or arrangement;

(iii)

the material terms of the contract or arrangement, including the value thereof, if any;

(iv)

advance paid or received, if any, for the contract or arrangement;

(v)

the manner of determining the pricing and other commercial terms, irrespective of whether or not the same are included in the contract;

(vi)

whether all factors relevant to the contract have been considered and, if not, the details of the factors not considered, along with the rationale for the same not being considered;

(vii)

any other information relevant for the Audit Committee or the Board, as the case may be, to take decision in the matter.

(2)

Where any director is interested in any contract or arrangement with a related party, such director shall not be present at the meeting of the Audit Committee or the Board at which such contract or arrangement is considered.]

8.

[Fees of members.

- A member not being a whole-time officer of the Corporation or an officer of the Central Government shall be paid fees by the Corporation as follows : -

(a)

for attending meetings of the Corporation - Rs. 40,000 (rupees forty thousand) for each meeting;

(b)

for attending meetings of the Committee constituted by the Corporation - Rs. 20,000 (rupees twenty thousand) for each meeting as well as for visit to other places in connection with the affairs of the Corporation;

(c)

for chairing meetings of the Corporation - Rs. 10,000 (rupees ten thousand) for each meeting in addition to (a) above;

(d)

for chairing meetings of any committee constituted by the Corporation- Rs. 5,000 (rupees five thousand) for each meeting in addition to (b) above, subject to an overall ceiling of Rs. 15,00,000 (rupees fifteen lakh) per annum per member.]

9.
Travelling and daily allowances. - (1) Every non-official member shall be entitled to-

(a)
travelling allowances for journey performed by him in connection with the work of the Corporation at the rates admissible to officers of the first grade in service of the Central Government:

Provided that every such member shall, when travelling by rail, be entitled to travel by air-conditioned accommodation if such accommodation is available;

(b)
[daily allowances for halts on duty at the rate of Rs. 30 per day.]

(2)
The travelling and daily allowances of an official member shall be governed by the rules applicable to him for journeys performed on official duty; and in case such official member is not in the service of the Corporation, the Corporation shall make necessary reimbursement to the authority employing such official.

10.
Apportionment of provident fund, etc. - (1) Where all the employees of an insurer whose controlled business is transferred to and vested in the Corporation under section 7 do not become employees of the Corporation under section 11, all the moneys and other assets belonging to the provident fund or superannuation fund or any other like fund referred to in sub-section (1) of section 8 shall be apportioned between the trustees of the fund and the Corporation in the following manner, namely:--

(i)
the moneys and other assets of any provident fund shall be apportioned in the proportion which the total of the amounts lying to the credit of the persons becoming employees of the Corporation bears to the total of the amounts lying to the credit of the person who do not become employees of the Corporation;

(ii)
the moneys and other assets of any superannuation fund shall be apportioned in the proportion which the liability of the fund in respect of the person becoming employees of the Corporation bears to a similar liability in respect of the persons who do not become employees of the Corporation, such liability to be ascertained on such basis as may be determined [by the Board] and approved by the Central Government; and

(iii)
the moneys and other assets of any other like fund shall be apportioned in accordance with the principles set out in clause (i) or clause (ii), as the case may be.

(2)
The provisions of sub-rule (1), shall, so far as may be, apply in relation to the valuation and apportionment of moneys and other assets belonging to any provident fund or superannuation fund or any other like fund referred to in clause (f) of sub-section (2) of section 10, as they apply in relation to the apportionment and valuation of moneys and other assets belonging to a provident fund, superannuation fund or any other like fund referred to in sub--section (1) of section 8.

Explanation .-For the purposes of this rule the assets of a provident fund, superannuation fund or any other like fund shall be valued at the market rates as on the appointed day.

11.
Transfer of service of existing employees of chief agents. - The provisions of section 12, shall apply only in respect of the employees of a chief agent of an insurer who was, under the terms of his contract with the insurer, require to render the following services to the policy-holders, namely:--

(a)
collection of premium, from the policy-holders in respect of policies secured through his insurance agents in the area for which he was appointed chief agent; and

(b)
issuing of final (pukka) receipts for the premiums so collected.

12.

[Reference to the Tribunal, etc.

(1)

Where the amount of compensation offered under sub-section (2) of section 16 is not acceptable to an insurer, or where the compensation offered under section 36 is not acceptable to a chief agent or a special agent, the insurer, the chief agent or the special agent, as the case may be, may, for the purpose of having the matter referred to the Tribunal, apply to the Corporation along with the documents specified, if any, in this behalf by the Tribunal in regulations made by it under section 17 (in this rule referred to as the regulation)--

(a)

in cases where the compensation was offered before the 1st day of November, 1964, not later than 31st day of January, 1965, or, if the applicant is an insurer to whom compensation is payable under Part B of the First Schedule to the Act, not later than the 31st day of April, 1965;

(b)

in all other cases within three months from the date on which the compensation is offered or, if the applicant is an insurer to whom compensation is payable under Part B of the First Schedule to the Act, within six months from the date on which the compensation is offered.

(2)

The Corporation shall within three months of the date of receipt of an application under sub-rule (1) refer the matter to the Tribunal for decision alongwith a written statement and other documents specified, if any, by the Tribunal in the regulations.

(3)

(i)

Where an application under sub-rule (1), is made after the expiry of the period specified therefor in that sub-rule, the Corporation shall, notwithstanding expiration of the said period, refer the matter within three months of the date of receipt of the application to the Tribunal for decision along with a written statement and other documents specified, if any, in the regulations.

(ii)

The Tribunal may admit reference made under clause (i) if the applicant satisfies the Tribunal that he had sufficient cause for not making the application to the Corporation within the period specified therefor in sub-rule (1).

(4)

An application to the Tribunal under section 15, or a reference to the Tribunal, other than reference referred to in sub-rule (2) or sub-rule (3), may be made-

(a)

in cases where the cause of action arose before the 1st day of November, 1964, not later than 31st day of January, 1965,

(b)

in all other cases, within a period of three months from the date on which the cause of action arose:

Provided that the Tribunal may admit an application or a reference other than reference to in sub-rule (2) or sub-rule (3) after the expiry of the relevant period referred to clause (a) or clause (b) if the persons making the application or reference satisfies the Tribunal that there was sufficient cause for not making it within that period.]

12A.

[Jurisdiction of Tribunal.

- The Tribunal may exercise jurisdiction in the whole of India and shall have power to decide or determine all or any of the following matters, namely:--

(i)

any question whether of title or of liability or of any nature whatsoever in relation to the assets and liabilities pertaining to the controlled business of the insurer transferred to and vested in the Corporation;

(ii)

any question under section 10 or under any rules made thereunder whether any property is or was held or used by a composite insurer for the purposes of his controlled business;

(iii)

every application made under section 15 and all claims outstanding in respect of any transaction which may be the

subject-matter of any such application determined in favour of the Corporation;

(iv)

all claims for compensation payable under the Act to insurer whose controlled business has been transferred to and vested in the Corporation; and all matters connected with the determination, payment and distribution of such compensation;

(v)

all claims for compensation payable under the Act to chief agents or special agents for contracts terminated under section 36; and all matters connected with the termination, payment and distribution of such compensation;

(vi)

such supplemental, incidental or consequential matters which the Tribunal may deem it expedient or necessary to decide or determine for the purpose of securing that the jurisdiction vested in it under the Act and in respect of matters referred to above is fully and effectively exercised.]

13.

Compensation. - The compensation payable under the Act shall be paid in cash.

14.

Employees and Agents Relations Committee. - The representatives of the Corporation on the Employees and Agents Relations Committee constituted under sub-section (3) of section 22 of the Act for each zonal office at the Corporation and the representatives of the employees and agents on such Committee shall be nominated [by the Chief Executive].

15.

Term of office of members of Employees and Agents Relations Committee. - A member of an Employee and Agents Relations Committee shall hold office for a period of two years but shall be eligible for being renominated.

16.

Casual vacancies in Employees and Agents Relations Committee. - (1) If any casual vacancy occurs in the office of a member of an Employees and Agents Relations Committee by death or resignation of such member or otherwise, the [Chief Executive] shall as soon as may be after the occurrence of the vacancy take immediate steps to fill the vacancy.

(2)

Every member appointed to fill a casual vacancy of such Committee shall continue in office for the unexpired term of his predecessor.

17.

Report. - The Annual report to be submitted by the Corporation to the Central Government under section 27 of the Act regarding its activities during the previous financial year shall be in such form as the Central Government may, from time to time, direct, and shall inter alia contain particulars in respect of the following matters, namely:--

(a)

the extent of the new business;

(b)

the total amount of business in force;

(c)

the total amount of claims;

(d)

nature of investment; and

(e)

the accounts.

18.

Allocation of paid-up capital of composite insurer. - For the purposes of the Explanation to sub-section (2) of section 7 and of clause (b) of sub-section (2) of section 10 of the Act, the part of the paid-up capital, as the case may be, allocated to the controlled business of an insurer shall be determined in the manner following, namely:--

(i)

in respect of an insurer entitled to receive compensation under Part A of the First Schedule to the Act, the paid-up capital allocable to the controlled business shall be that proportion of the total paid-up capital of the insurer which the annual average of the profits from the controlled business during the period covered by the relevant actuarial investigation bears to the total of such annual average of profits plus two times the annual average of the profits from

other business during that period:

Provided that the paid-up capital allocable to the controlled business shall not in any case exceed a sum of rupees six lakhs;

(ii)

in respect of an insurer entitled to compensation under Part B of the First Schedule to the Act, the paid-up capital allocable to the controlled business shall be the excess, if any, of the amount of liabilities of the insurer appertaining to such business in existence on the 19th day of January, 1956, computed as at that date in accordance with the provisions of paragraph 4 of Part B of the First Schedule to the Act over the value of the assets of the insurer appertaining to his controlled business (excluding the paid-up capital allocable to controlled business) in existence on the 19th day of January, 1956, computed as at the date in accordance with the provisions of paragraph 3 of Part B of the First Schedule to the Act.

Explanation 1. - "Profits from controlled business" means the share of the surplus allocated to the shareholder as disclosed in the abstracts prepared in accordance with Part II of the Fourth Schedule to the Insurance Act in respect of the relevant actuarial investigations.

Explanation 2. - "Profits from other business" means the total of the profits less losses transferred to "Profit and Loss Account" from the fire, marine and miscellaneous insurance revenue accounts prepared in accordance with Form F of the Third Schedule of the Insurance Act.

Explanation 3. - "Relevant Actuarial Investigations" means such minimum number of latest actuarial investigations as at dates earlier than the 1st day of January, 1956 (not being less than 2 in any case) would leave the period intervening between the date as at which the actuarial investigation immediately preceding the first of such investigations was made and the date at which the last of such investigations was made and to be not less than four years.

Explanation 4. - Where an insurer has allocated to shareholders more than 5 per cent. of any such surplus as is referred to in Explanation 1, the insurer shall be deemed to have allocated only 5 per cent. of surplus and where an insurer has not allocated any such surplus to shareholders or has allocated to shareholders less than 5 per cent. of any such surplus, the insurer shall be deemed to have allocated 5 per cent. of the surplus.

19.

Transfer of business of certain composite insurer to the Corporation. - Every transfer by the Administrator under clause (a) of section 45 of the Act shall be made in pursuance of an agreement between the Administrator and the Corporation and no such agreement shall be entered into except with the previous approval of the Central Government.

20.

Vesting of the management of the affairs of the insurer in the persons entitled thereto. - As soon as the transfer in terms of rule 19 is effected, the Administrator shall by notice call upon the persons in charge of the management of the insurer immediately prior to the appointment of the Administrator to take charge of the management of any other kind of business not transferred to and vested in the Corporation and upon such notice being given, such persons shall take the management of that other kind of business.

21.

[Form and manner in which financial statement may be issued, circulated or published.

[Inserted by Notification No. G.S.R. 460 (E), dated 30.6.2021.]

- The Corporation shall -

(i)

send to each member and every other person entitled to receive the same, either by electronic mode or by despatch of physical copy by way of registered post or speed post or courier to, or delivery at, the address entered in the register of members referred to in section 5B in the case of members and at the registered office or the last known address in case of other persons, a copy each of the financial statement of the Corporation;

(ii)

place its financial statements for the preceding ten years on its website after the same have been adopted at an annual general meeting.

Explanation. - For the purposes of this rule, -

(a)

"financial statement" includes the consolidated financial statement of the Corporation, along with the Board's report, auditor's report and other documents required to be attached therewith under sub-section (8) of section 24B;

(b)

"courier" means any person who delivers a document and provides proof of its delivery;

(c)

"electronic mode" means any communication sent by the Corporation through its authorised and secured computer programme, which is capable of generating a confirmation of the communication having been sent and of keeping a record of such communication addressed to the person entitled to receive the same, at the electronic mail address of the addressee;

(d)

"address" in relation to sending of financial statement by electronic mode shall mean the electronic mail address of the addressee.

22.

Manner and procedure of selection of auditors and conditions of their appointment.

(1)

The Audit Committee shall formulate and recommend to the Board for adoption of a policy for selection of auditors of the Corporation or of any branch or office of the Corporation as is referred to in sub-section (6) of section 25B (hereinafter referred to as "Auditor"):

Provided that such policy shall include submission of a certificate by the proposed Auditor that -

(a)

the individual or the firm, as the case may be, is eligible for the proposed appointment and is not disqualified for appointment under the Act and the Chartered Accountants Act, 1949 (

38 of 1949

), and the rules and regulations made thereunder, and that the auditor satisfies the criteria provided for eligibility for appointment as an auditor of a company under section 141 of the Companies Act, 2013 (

18 of 2013

);

(b)

the proposed appointment is as per the term provided under the Act;

(c)

the proposed appointment is within the limits laid down by or under the authority of the Act;

(d)

the list of proceedings against the auditor or audit firm or any partner of the audit firm pending with respect to professional matters of conduct, to be disclosed in the certificate, is true and correct.

(2)

The Board shall adopt the policy recommended under sub-rule (1) without any modifications or with such modifications as it may consider necessary.

(3)

The Audit Committee shall, in accordance with the policy adopted by the Board under sub-rule (2), draw up a panel of names of auditors who may be considered for appointment as an Auditor.

(4)

For selecting an Auditor from out of the panel referred to in sub-rule (3), the Audit Committee shall take into consideration the qualifications and experience of the individual or the firm proposed to be considered for appointment as Auditor and whether such qualifications and experience are commensurate with the size and requirements of the Corporation or its branch or office, as the case may be:

Provided that while considering the appointment, the Audit Committee shall have regard to any order or pending proceeding relating to professional matters of conduct against the proposed Auditor before the Institute of Chartered Accountants of India constituted under the Chartered Accountants Act, 1949 (

38 of 1949

) or any competent authority or any court.

(5)

The Audit Committee may call for such other information from the proposed Auditor as it may deem fit.

(6)

Subject to the provisions of sub-rule (4), the Audit Committee shall recommend to the Board for its consideration the name of an individual or a firm as Auditor.

(7)

If the Board agrees with the recommendation of the Audit Committee under sub-rule (6), it shall recommend the appointment of an individual or a firm as Auditor to the members in the annual general meeting.

(8)

If the Board disagrees with the recommendation of the Audit Committee under sub-rule (6), it shall refer the recommendation back to the Audit Committee for reconsideration, while citing the reasons for the disagreement.

(9)

If the Audit Committee, after considering the reasons given by the Board under sub-rule (8), decides not to reconsider its original recommendation, the Board shall record the reasons for its disagreement with the Audit Committee and give its own recommendation for consideration of the members in the annual general meeting; and if the Board agrees with the recommendations of the Audit Committee, it shall place the matter for consideration by members in the annual general meeting.

(10)

The Auditor appointed in the annual general meeting shall hold office from the conclusion of that meeting till the conclusion of the sixth annual general meeting, with the meeting wherein such appointment has been made being counted as the first meeting.

Explanation. - For the removal of any doubts, it is hereby clarified that until the first annual general meeting is held, the Board shall perform the functions required to be performed by the members in the annual general meeting under this rule, subject to fulfilment of the requirement of previous approval of the Central Government under sub-section (8) of section 25 for appointment of duly qualified auditors.

23.

Other matters to be included in auditor's report.

(1)

The report of the auditor of the Corporation shall include -

(i)

the auditor's views and comments in relation to the Corporation on matters prescribed by the Central Government to be included in the auditor's report for audit in respect of companies, under sub-section (2) of section 143 of the Companies Act, 2013 (

18 of 2013

), and

(ii)

a statement in relation to the Corporation on such matters whose inclusion in the auditor's report in respect of companies may be directed by any order issued by the Central Government under sub-section (11) of section 143 of the Companies Act, 2013 (

18 of 2013

), subject to such modifications and exceptions as the Central Government may by notification specify.

(2)

The requirement of inclusion in the auditor's report of any statement regarding reporting of fraud by the auditor of the Corporation under clause (ii) of sub-rule (1) shall also apply to the auditor's report of the auditor of a branch or office of the Corporation, to the extent it relates to such branch or office.

24.

Duties and powers of Corporation's auditor with reference to audit of branch or office of the Corporation and its auditor.

- For the purposes of sub-section (6) of section 25B, the duties and powers of the Corporation's auditor with reference to the audit of a branch or office of the Corporation and its auditor shall be as contained in sub-sections (1) to (4) of section 25B.

25.

Resignation of auditor.

(1)

For the purposes of sub-section (2) of section 25A, when an auditor has resigned from the Corporation, he shall file a

statement with the Corporation in Form 2 as set out in the Schedule to these rules.

(2)

In the event of the Corporation applying to list its equity shares under any regulation made by the Securities and Exchange Board of India in this behalf, any additional requirements specified by the Board in respect of resignation of statutory auditors from listed entities shall be complied with.

26.

Reservation in favour of and allotment to life insurance policyholders in a public issue.

(1)

Any reservation made by the Corporation in favour of its life insurance policyholders on a competitive basis in a public issue under clause (a) of sub-section (9) of section 5 shall be made in a manner similar to that applicable to a reservation on a competitive basis for employees in a public issue under any regulation made and circular issued by the Securities and Exchange Board of India regarding issue of capital and disclosure requirements, to the extent not repugnant to the provisions of the Act, and be subject to fulfilment of the terms and conditions in this regard, as disclosed in the offer document approved by the Board.

(2)

Allotment of equity shares to life insurance policyholders against any reservation made in their favour shall be made in consultation with the stock exchanges concerned.

Explanation. - Words and expressions used in this rule but not defined in the Act shall have the meanings assigned to them in the regulations made by the Securities and Exchange Board of India regarding issue of capital and disclosure requirements, to the extent not repugnant with the provisions of the Act.

27.

Use of electronic records and electronic signature.

- For the purposes of these rules, any requirement of -

(a)

[maintenance of a register or minutes or book or giving notice or submission of a certificate or calling for information or filing of a statement shall be satisfied if the same is maintained, given, submitted, called for or filed, as the case may be, in the form of an electronic record as defined in the Information Technology Act, 2000 (

21 of 2000

);]

[Substituted by Notification No. G.S.R. 171(E), dated 3.3.2022.]

(b)

a person signing a notice, certificate, a call for information or a statement shall be satisfied if he affixes thereon his electronic signature as defined in the Information Technology Act, 2000 (21 of 2000).]

28.

[General meetings.

[Inserted by Notification No. G.S.R. 171(E), dated 3.3.2022.]

(1)

Persons entitled to attend and to exercise vote at a general meetings may also do so through audio-visual means, for which the Corporation may adopt such procedure as a company may adopt for holding such meetings under the framework laid down by the competent authority in the Ministry of Corporate Affairs.

(2)

Save as otherwise provided for in the Act, the rules and regulations made thereunder and the procedure under sub-rule (1), for holding a general meeting of members of the Corporation and voting for a resolution by the members, the Corporation shall also observe such secretarial standards as are applicable to a company for holding general meetings under sub-section (10) of section 118 of the Companies Act.

(3)

The notice for a general meeting of the Corporation shall be issued by the Company Secretary, or by such director or other officer of the Corporation as the Board may authorise in this behalf.

(4)

Every notice of a general meeting of the Corporation shall be issued in like manner as is provided for a general meeting of a company under section 101 of the Companies Act and, if any item of special business is to be transacted thereat, a

statement as provided for in sub-sections (1) and (3) of section 102 of the Companies Act shall be annexed to the notice.

- (5)
Every notice for a general meeting shall be accompanied by -
- (a)
an attendance slip in Form 3; and
- (b)
a proxy form in Form 4,
set out in the Schedule to these rules, along with instructions for filling and submitting the same.

(6)
The Chairperson shall be the chairman of a general meeting of the Corporation:
Provided that in the absence of the Chairperson, or if at any meeting he is not present within fifteen minutes of the time appointed for holding the meeting, or if he is unwilling to chair the meeting, the directors present may choose one amongst themselves to be the chairman:

Provided further that in the event of default on the part of the Chairperson and directors present in chairing the meeting as aforesaid, or if no director is present, the members present shall choose one amongst themselves to be the chairman:

Provided also that if a poll is demanded in accordance with clause (b) of sub-rule (9) for choosing the member to chair the meeting under the second proviso of this sub-rule, it shall be taken forthwith and the person elected as a result of the poll shall be the chairman.

- (7)
Subject to the provisions of sub-section (1) of section 4C, -

- (a)
every member shall have a right to vote on every resolution placed before the Corporation in a general meeting; and
- (b)
his voting right on a poll shall be in proportion to his share in the paid-up equity share capital of the Corporation:
Provided that a member shall not be entitled to any voting rights in respect of any amount paid by him for the whole or a part of the amount remaining unpaid on any shares by him, until the amount paid has been called up.

(8)
At a general meeting, a resolution put to the vote of the meeting shall, unless a poll is demanded under sub-rule (9) or voting is done through electronic means under the procedure referred to in sub-rule (1) or the secretarial standards referred to in sub-rule (2), be decided on a show of hands, and a declaration by the chairman of the passing of a resolution or otherwise by show of hands and an entry to that effect in the books containing the minutes of the meeting shall be conclusive evidence of the fact of passing of such resolution or otherwise.

(9)
Before or on the declaration of the result of the voting on any resolution on show of hands in a general meeting, a poll -

- (a)
may be ordered to be taken by the chairman on his own motion; and
- (b)
shall be ordered to be taken by him on a demand made in that behalf by members present thereat or by proxy, who -
- (i)
have not less than such proportion of the total voting power in the Corporation; or
- (ii)
hold shares on which such aggregate sum has been paid up to the Corporation,
as is provided for or prescribed under clause (a) of sub-section (1) of section 109 of the Companies Act in respect of demand for poll by members in a company:

Provided that the demand for a poll may be withdrawn at any time by the persons who made the demand:

Provided further that a poll demanded for adjournment of the meeting or appointment of the chairman shall be taken forthwith.

- (10)
A poll ordered at a general meeting of the Corporation under sub-rule (9) shall be taken in like manner as is provided for

a company under sub-sections (4) to (7) of section 109 of the Companies Act.

(11)

The chairman shall appoint such number of persons as he deems necessary to scrutinise the poll process and votes given on the poll and to report thereon to him in the manner prescribed under sub-section (5) of section 109 of the Companies Act, and such person or persons shall -

(a)

arrange for polling papers, which shall be in Form 5 as set out in the Schedule to these rules, and distribute the same to the members and proxies present at the meeting and, in case of joint members, to the first named holder of their share or shares and in his absence to such joint holder attending the meeting whose name appears next in the chronological order in their share;

(b)

submit a report to the chairman in Form 6 as set out in the Schedule to these rules.

(12)

A member which is a body corporate may, by resolution of its Board of directors or other governing body, authorise such individual as it may deem fit to act as its representative at a general meeting, and the individual so authorised shall be entitled to exercise on behalf of that body corporate the same rights and powers, including the right to vote by proxy, as such body corporate may exercise if it were an individual member.

(13)

The Central Government may authorise such official of the Central Government as it may deem fit to act as its representative at a general meeting, and the official so authorised shall be entitled to exercise on behalf of the Central Government the same rights and powers, including the right to vote by proxy, as the Central Government may exercise if it were an individual member.

Explanation. - For the removal of doubts, it is clarified that for the purposes of this rule, -

(a)

the applicability of the procedure referred to in sub-rule (1) and the secretarial standards referred to in sub-rule (2) shall include, among other things, matters relating to notice, quorum, attendance and exercise of vote at a general meeting (including through audio-visual means, electronic voting and proxy), postal ballot, adjournment, minutes and matters incidental thereto;

(b)

where the said procedure or standards provide for a procedure or standard applicable to a company in which voting through electronic means has been prescribed under section 108 of the Companies Act or a public company, the same shall, mutatis mutandis, be applicable to the Corporation.]

[Schedule]

[Inserted by Notification No. G.S.R. 460 (E), dated 30.6.2021.]

Form 1

[See rule 6]

Notice of interest by director

To:

The Board of Directors

Life Insurance Corporation of India

Dear madam/sir,

I,, son/daughter/spouse of, resident of, being a director of the Corporation hereby give notice of my interest or concern in the following bodies corporate: -

S. No.

Name of the body corporate

Nature of interest or concern/ change in interest or concern

Shareholding

Date on which interest or concern arose/ changed

Note: "Body corporate" includes a company, a body corporate as defined under clause (11) of section 2 of the

Companies Act, a firm, a financial institution or a scheduled bank or a public sector enterprise established or constituted by or under any Central Act or State Act, and any other incorporated association of persons or body of individuals.

Place:

Date:

Signature

Managing Director/Director/Chairperson/Chief Executive

Form 2

[See rule 25]

Notice of resignation by the auditor

Life Insurance

Corporation of India ("Corporation")

1. (a) Address of the

Central Office of the Corporation:

(b) Email address of the Corporation:

2. Category of

auditor: Individual Firm

3. (a) Income tax PAN

of auditor or auditor's firm:

(b) Name of the auditor or auditor's firm:

(c) Membership number of auditor or auditor's firm
registration number:

(d) Address of the auditor or auditor's firm:

(e) City:

(f) State:

(g) PIN code:

(h) Email address of the auditor or auditor's firm:

4. Reason for

resignation:

5. Whether letter of

resignation is enclosed: Yes/No

6. Any other facts

relevant to the resignation:

Verification

I hereby confirm that

the information given in this form and enclosed documents are
correct and complete.

I am duly authorised to sign and submit this
form.

Signature

Auditor/Partner of

the audit firm

Whether Associate or

Fellow? Associate/Fellow

Membership number:

Enclosures:

1. Resignation

letter, if enclosed

2. Any other document

[Form 3]

[Inserted by Notification No. G.S.R. 171(E), dated 3.3.2022.]

[See rule 28(5)(a)]

Attendance slip

_ General Meeting on the

_ day of

_, 20

_ at ____ a.m./p.m.

Number of shares held: _____

Folio number: _____

OR*

DP Id: _____

Client Id: _____

I certify that I am a registered member/proxy for the registered member of the Life Insurance Corporation of India and hereby record my presence at the ____

_ General Meeting of the Life Insurance Corporation of India on the

_ day of

_, 20

_ at ____

_ a.m. / p.m. at

_____ (place).

Signature of registered member / proxy

*Applicable to investors holding shares in dematerialised form

[Form 4]

[Inserted by Notification No. G.S.R. 171(E), dated 3.3.2022.]

[See rule 28(5)(b)]

Proxy form

To:

Life Insurance Corporation of India

Central Office

'Yogakshema'

Jeevan Bima Marg

Nariman Point

Mumbai – 400 021

Name of the member(s):

Registered address:

Email address:

Folio number:

OR*

DP Id:

Client Id:

*Applicable to investors holding shares in dematerialised form

I/We, being member(s) of _____ * shares of the Life Insurance Corporation of India, hereby appoint the following person

(1)

Name: _____

Address: _____

Email address: _____

Signature: _____,

Or, in the event of his/her failing to attend,

(2)

Name: _____

Address: _____

Email address: _____

Signature: _____,

Or, in the event of his/her failing to attend,

(3)

Name: _____

Address: _____

Email address: _____

Signature: _____

as my/our proxy to attend and vote (on a poll) for me/us and on my/our behalf at the _____

_ general meeting of the Life Insurance Corporation of India, to be held on the

_ day of

_ at

_ a.m./p.m. at

_____ (place), and at any adjourned meeting thereof, in respect of the resolutions indicated below:

Resolution number:

(1) _____

{|

Member(s) to

affix revenue

stamp

and sign across

the same

|-

| (2) _____

|-

| (3) _____

|-

| Signed this _____

day of _____

_, 20

|

|-

|

|-

| Signature(s) of

member(s):

|

|-

| {|

|-

|
|
|
}
Signature(s) of proxy
holder(s):

|
|-
{
(1)
(2)
(3)
}
}

Note: In order to be effective, this form should be duly completed and deposited at the central office of the Corporation or such other office of the Corporation as its Board may determine, not less than forty-eight hours before the time fixed for the meeting.

* Specify the number of shares held

[Form 5]

[Inserted by Notification No. G.S.R. 171(E), dated 3.3.2022.]

[See rule 28(11)(a)]

Polling paper

To:

Life Insurance Corporation of India

Central Office

'Yogakshema'

Jeevan Bima Marg

Nariman Point

Mumbai – 400 021

Polling Paper

S. No.

Particulars

Details

1.

Name of the first
named member
(in block letters)

2.

Postal address

3.

Folio number:

OR*

DP Id:

Client Id:

4.

Class of share

*Applicable to investors holding shares in dematerialised form

I hereby exercise my vote in respect of the ordinary/special resolution(s) enumerated below by recording my assent or dissent to the said resolution(s) in the following manner:

S. No.

Item number

Number of shares held by me

I assent to the resolution#

Idissent from the resolution#

1.

Member/proxy to place a tick [?] in the box below, to indicate his vote.

Place: _____

Date: _____

Signature of registered member / proxy

[Form 6]

[Inserted by Notification No. G.S.R. 171(E), dated 3.3.2022.]

[See rule 28(11)(b)]

Report of scrutiniser(s)

To:

Mr/Ms _____

Chairman of the

_ general meeting of members of the Life Insurance Corporation of India, held on
day of

_, 20

_ at _____

Dear sir/madam,

I/We, _____

—,

_ and

_____, appointed as scrutiniser(s) for

the purpose of the poll taken on the resolution(s) enumerated below, at the ____

_ meeting of the members of the Life Insurance Corporation of India held on
day of

_, 20

_ at _____, hereby submit my/our report as under:

(1)

After the time fixed for closing of the poll by the chairman, _____ ballot boxes kept for polling were locked in my/our presence, with identification marks duly placed by me/us.

(2)

The locked ballot boxes were subsequently opened in my/our presence, and poll papers were scrutinised diligently and reconciled with the records maintained by the Life Insurance Corporation of India / its registrar and transfer agents and the authorisations/ proxies lodged with the Life Insurance Corporation of India.

(3)

The poll papers, which were incomplete and/or which were otherwise found defective have been treated as invalid and kept separately.

OR

I/We did not find any invalid poll papers.

(4)

The result of the poll is as under:

(a)

Resolution _

—

(Reproduce Item No. and heading of the Resolution)

(i)

Voted in favour of the resolution:

Number of members present and voting (in person
or by proxy)

Number of votes cast by them

% of total number of valid votes cast

(ii)

Voted against the resolution:

Number of members present and voting (in person
or by proxy)

Number of votes cast by them

% of total number of valid votes cast

(iii)

Invalid votes:

Total number of members (in person or by proxy)
whose votes were declared invalid

Total number of votes cast by them

(b)

Resolution _

—

(Reproduce Item No. and heading of the Resolution)

(i)

Voted in favour of the resolution:

Number of members present and voting (in person
or by proxy)

Number of votes cast by them

% of total number of valid votes cast

(ii)

Voted against the resolution:

Number of members present and voting (in person
or by proxy)

Number of votes cast by them

% of total number of valid votes cast

(iii)

Invalid votes:

Total number of members (in person or by proxy)
whose votes were declared invalid

Total number of votes cast by them

(c)

_____*

(5)

An electronic record listing in respect of each resolution the members who voted for the resolution, against the resolution and whose votes were declared invalid is sent herewith as/in _____#.

(6)

The poll papers and all other relevant records were sealed and handed over to the Company Secretary / director authorised by the Board for safe-keeping.

Thanking you,

Yours faithfully,

Place: _____

Date: _____

Name(s) and signature(s) of the scrutiniser(s)

* To be enumerated depending on the number of resolutions for which poll is taken

Specify the form of the electronic record [such as an electronic attachment to report submitted in electronic form, or a pen drive, hard disk or other external data storage device {to be specified and with identification marks duly placed on it by the scrutiniser(s)} submitted with report submitted in physical form].

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Translation